

account), and possibly charged you a transfer fee; or they covered the purchase for you, and will charge a fee (usually around \$30) for each transaction, on top of the money you need to pay them back. So now you have to pay the bank \$125 to get the account back to zero (which is fair) and an additional \$60 for your two overdraft fees (which is garbage).

But wait! Because banks love to make money off of fees, it gets worse. Many banks wait until the end of the day to enter their transactions, and when they do this, they input transactions by amount—largest to smallest—rather than the order in which they were completed. In the example above, that would mean the \$100 cell phone bill is entered first, instantly putting the account into a negative balance. As a result, that cell phone bill payment—and any transaction entered after it— would trigger a \$30 overdraft fee. In this scenario, you would be facing \$120 worth of fees just because you made the simple mistake of forgetting which day it is.

These fees can kill your budget. If you do find yourself in a situation where you have been charged overdraft fees, call your bank and explain what happened. Banks are not inherently evil, and if you call and ask them to waive the fees, they often will. More importantly, instead of signing up for overdraft protection, pay closer attention to your finances (which I will discuss further in the budgeting chapter) and don't purchase things when you do not have the money to do so. It is better to face the embarrassment of having your transaction declined than paying crazy amounts of money in fees to your bank.